

Session log: in-place-noi Skill, run 1 on Cedar Ridge

Full transcript of one conversation. Model: claude-opus-5-5. Hidden reasoning and system context are omitted; every message, tool call and tool result is shown.

USER

/in-place-noi

The skill is the file C:\Users\bonne\Downloads\module-1.5-submission\in-place-noi\SKILL.md. Read it and follow it exactly.

Run it on Cedar Ridge Apartments. Read these files directly from disk:

- Rent roll: C:\Users\bonne\Downloads\module-1.5-submission\test-files\durham-rent-roll.csv
- Expense summary: C:\Users\bonne\Downloads\module-1.5-submission\test-files\durham-operating-expenses.csv

Read only those three files and do not modify anything. Return the skill's output format as your final answer.

TOOL CALL: READ

```
{
  "file_path": "C:\\Users\\bonne\\Downloads\\module-1.5-submission\\in-place-noi\\SKILL.md"
}
```

TOOL RESULT

```
1      ---
2      name: in-place-noi
3      description: Use when handed a multifamily rent roll and an operating expense summary and asked for in-place NOI,
the going-in cap rate, or "what does this building earn today at the asking price". Reads the files directly, including
the notes below the rent roll table, and returns a line-by-line NOI worksheet with the cap rate.
4      ---
5
6      # In-place NOI and going-in cap rate
7
8      You turn a rent roll and an operating expense summary into in-place NOI and the going-in cap rate at the asking
price. Follow the steps in order. Do the arithmetic line by line and show it. Never return a single net-rent figure in
place of the worksheet lines.
9
10     **In-place** means the leases as they stand on the rent roll date, not the rents the building might earn later.
11
12     ## The job
13
14     | | |
15     |---|---|
16     | **Starts when** | Someone hands over a listing's rent roll and expense summary and asks for NOI or the cap
rate. |
17     | **Required inputs** | 1. A rent roll with unit, status, lease start, lease end and monthly rent, plus
everything written below the table. 2. An expense summary with annual other income and annual operating expenses. 3. The
asking price, from the rent roll header or from the person asking. |
18     | **Produces** | A broker-note map, the 11-line worksheet, NOI, the cap rate, and a short list of flags for
diligence. |
19     | **Works when** | Every worksheet line is shown, every broker note is assigned to a line, the totals tie out,
and the result is the same however the rent roll rows are ordered. |
20
21     ## Step 1: Read everything before calculating
22
23     1. Open each file and read **all** of it. Rent rolls carry notes below the last unit, and those notes change the
arithmetic. If you stop at the last unit row, you will get a confident wrong answer.
24     2. Record the rent roll date and the asking price.
25     3. Build the unit list **keyed by unit number**. Do not rely on the order of the rows. Count the units, and check
that no unit number appears twice.
26
27     ## Step 2: Map the broker notes
28
29     Before any arithmetic, make a table with one row per note: the note, the unit(s) it names, and the worksheet line
it changes. If a note changes nothing, write "explains only". Every note must appear in this table.
30
31     ## Step 3: Rental income
32
33     | Line | Rule |
34     |---|---|
35     | 1. Gross potential rent | Sum the monthly rent of **every** unit, whatever its status, and multiply by 12. |
36     | 2. Less vacancy loss | For every unit whose status is vacant, its monthly rent × 12. |
37     | 3. Less non-revenue units | For every unit that is occupied but pays no rent, its monthly rent × 12. These
```

units are usually identified only in the notes: a manager's or employee's unit given as compensation, a model unit, an office. The status column will say "Occupied". |

38 | 4. Less concessions (year one) | For every lease still in its first year on the rent roll date (lease start no more than 12 months before that date), deduct the free rent named in the notes. One month free = one month's rent. Deduct it **even if the free month fell before the rent roll date**, because the line measures what the lease's first year collects. |

39 | 5. Effective rental income | Line 1 - lines 2, 3 and 4. |

40

41 A unit belongs on **at most one** of lines 2 and 3. A vacant unit is never also non-revenue.

42

43 ## Step 4: Other income and operating expenses

44

45 | Line | Rule |

46 |---|---|

47 | 6. Plus other income | The annual total from the expense summary. Add up the line items and confirm they equal the stated total. |

48 | 7. Effective gross income | Line 5 + line 6. |

49 | 8. Less operating expenses | The annual total from the expense summary, **including** replacement reserves. Add up the line items and confirm they equal the stated total. Do not add, remove or re-estimate any expense. |

50 | 9. In-place NOI | Line 7 - line 8. |

51 | 10. Asking price | As given. |

52 | 11. Going-in cap rate | Line 9 ÷ line 10, as a percentage to two decimals. |

53

54 ## Step 5: Stop and ask, do not guess

55

56 If any of these is true, **do not produce NOI**. List the questions and stop.

57

58 - No asking price is given anywhere.

59 - A unit has no monthly rent, or its status is blank or anything other than occupied or vacant (for example notice, eviction or down unit).

60 - A note names a concession or a non-revenue arrangement without enough detail to price it (for example "reduced rent" with no amount, or free rent with no length).

61 - A note contradicts the table (for example a note calls a unit vacant that the table marks occupied).

62 - The other-income or expense line items do not add up to the stated total.

63 - The expense summary is not annual (a monthly or a partial-year figure), or its period is not stated.

64 - The number of units in the table disagrees with a unit count stated anywhere else.

65

66 ## Step 6: Flag and proceed (written conventions, not guesses)

67

68 Apply these conventions, and list each case under **Flags** in the output.

69

70 - **Expired lease still marked occupied:** count it in place at its listed rent, as month-to-month. Flag the lease end date, because the tenant may be leaving.

71 - **Rent below the market rent stated in a note:** use the actual rent. List the gap as upside, not as in-place income.

72 - **Partial-year concession on a lease signed before the rent roll date:** deduct it under the line 4 rule, and also state what the unit collects over the next 12 months.

73

74 ## Output format

75

76 1. **Answer first:** "In-place NOI is \$X; going-in cap rate is Y% at the \$Z asking price."

77 2. **Broker-note map** (from Step 2).

78 3. **Worksheet:** the 11 lines, numbered as above. Each line shows its amount and a short "how" (which units, rent × months).

79 4. **Self-check:** recompute line 5 from the paying units directly (rent × 12 for each unit that is neither vacant nor non-revenue, minus line 4) and confirm it equals line 5. Confirm that the units on lines 2 and 3 plus the paying units equal the total unit count.

80 5. **Flags** (from Step 6). Keep them to two lines each.

81

82 Round dollars to whole numbers. Show the cap rate to two decimals.

83

TOOL CALL: READ

```
{
  "file_path": "C:\\Users\\bonne\\Downloads\\module-1.5-submission\\test-files\\durham-rent-roll.csv"
}
```

TOOL RESULT

```
1 Cedar Ridge Apartments,,,,,
2 1400 Cedar Ridge Road Durham NC 27703,,,,,
3 Rent roll as of,2026-09-01,,,,,
4 Asking price,1750000,,,,,
```

```

5      ,,,,,
6      Unit,Beds,Status,Lease start,Lease end,Monthly rent
7      101,2,Occupied,2026-03-01,2027-02-28,1450
8      102,2,Occupied,2026-01-15,2027-01-14,1450
9      103,2,Occupied,2025-11-01,2026-10-31,1450
10     104,2,Occupied,2026-05-01,2027-04-30,1450
11     105,2,Occupied,2026-02-01,2027-01-31,1450
12     106,2,Occupied,2026-04-15,2027-04-14,1450
13     107,2,Occupied,2025-12-01,2026-11-30,1450
14     108,2,Occupied,2024-08-01,2026-07-31,1375
15     109,2,Occupied,2024-09-15,2026-09-14,1375
16     110,2,Occupied,2026-08-01,2027-07-31,1500
17     111,2,Vacant,,,1500
18     112,2,Occupied,2026-01-01,2027-12-31,1450
19     ,,,,,
20     Notes from the broker,,,,,
21     Unit 110 signed 2026-08-01 with one month free rent as a move-in concession,,,,,
22     Unit 111 is being marketed at 1500 which is where the last three renewals landed,,,,,
23     Unit 112 is occupied by the on-site manager as part of their compensation,,,,,
24     Units 108 and 109 are on legacy leases signed before the 2025 renovations,,,,,
25

```

TOOL CALL: READ

```

{
  "file_path": "C:\\Users\\bonne\\Downloads\\module-1.5-submission\\test-files\\durham-operating-expenses.csv"
}

```

TOOL RESULT

```

1      Cedar Ridge Apartments,
2      Operating expense summary,
3      Trailing twelve months ending,2026-08-31
4      ,
5      Other income,Annual
6      Laundry,3600
7      Parking,2400
8      Late fees and other,600
9      Total other income,6600
10     ,
11     Operating expenses,Annual
12     Property taxes,24500
13     Insurance,9600
14     "Utilities, common areas and water/sewer",12000
15     Repairs and maintenance,10800
16     "Contract services, landscaping and pest and snow",4800
17     Management fee,8600
18     Turnover and make-ready,4300
19     Administrative and legal,1800
20     Replacement reserves,3400
21     Total operating expenses,79800
22

```

ASSISTANT

****In-place NOI is \$98,100; going-in cap rate is 5.61% at the \$1,750,000 asking price.****

Rent roll date is 2026-09-01. There are 12 units, and no unit number appears twice. None of the stop-and-ask conditions applies. The other income items add to \$6,600 and the expense items add to \$79,800, which match both stated totals. The expense summary covers the trailing twelve months ending 2026-08-31.

Broker-note map

Note	Unit(s)	Worksheet line
110 signed 2026-08-01 with one month free rent	110	Line 4 (concessions)
111 marketed at \$1,500, where the last three renewals landed	111	Line 2 at its listed \$1,500. Otherwise explains only (market reference for upside flag)
112 occupied by on-site manager as compensation	112	Line 3 (non-revenue)
108 and 109 on legacy pre-renovation leases	108, 109	Explains only (below-market rent, upside flag)

Worksheet

Line	Amount	How
---	---	---

1. Gross potential rent	\$208,200	All 12 units: 101-107 (7 × \$1,450 = \$10,150) + 108-109 (2 × \$1,375 = \$2,750) + 110 (\$1,500) + 111 (\$1,500) + 112 (\$1,450) = \$17,350/mo × 12
2. Less vacancy loss	(\$18,000)	Unit 111: \$1,500 × 12
3. Less non-revenue units	(\$17,400)	Unit 112 (manager): \$1,450 × 12
4. Less concessions (year one)	(\$1,500)	Unit 110: lease started 2026-08-01, within 12 months. 1 month free × \$1,500
5. Effective rental income	\$171,300	\$208,200 - \$18,000 - \$17,400 - \$1,500
6. Plus other income	\$6,600	Laundry \$3,600 + parking \$2,400 + late fees and other \$600
7. Effective gross income	\$177,900	\$171,300 + \$6,600
8. Less operating expenses	(\$79,800)	Taxes \$24,500 + insurance \$9,600 + utilities \$12,000 + R&M \$10,800 + contract services \$4,800 + management \$8,600 + turnover \$4,300 + admin/legal \$1,800 + reserves \$3,400
9. In-place NOI	\$98,100	\$177,900 - \$79,800
10. Asking price	\$1,750,000	Rent roll header
11. Going-in cap rate	5.61%	\$98,100 ÷ \$1,750,000 = 5.606%

Self-check

- Paying units are 101-110 (10 units): (\$10,150 + \$2,750 + \$1,500) × 12 = \$172,800. Less line 4 (\$1,500), that gives \$171,300, which equals line 5.
- Unit count: 1 on line 2 (111) + 1 on line 3 (112) + 10 paying = 12, which equals the total unit count.

Flags

- ****Unit 108, expired lease still marked occupied:**** the lease ended 2026-07-31. It's counted in place at \$1,375 as month-to-month, but the tenant may be leaving.
- ****Units 108 and 109, below-market rent:**** they pay \$1,375 against the \$1,500 that renewals reach (note on 111). That's \$125/mo each, or \$3,000/yr of upside, which is not in NOI. Unit 109's lease also ends 2026-09-14, two weeks after the rent roll date.
- ****Unit 110, partial-year concession:**** the \$1,500 free month is deducted on line 4. If August 2026 was the free month, the next 12 months collect \$18,000 (11 months to lease end at 7/31/27 plus one at renewal). If the free month is still ahead, they collect \$16,500.
- ****Near-term rollover (diligence):**** unit 103's lease ends 2026-10-31 and unit 107's ends 2026-11-30.